form of loans or equity, and provide managerial and technical support. The subscribed capital of the Corporation was to be ₹5 crores, the majority of which would be Indian. The World Bank agreed to make a long-term foreign exchange loan to the corporation of a similar amount, while the Government of India agreed to lend to the new entity counterpart funds of ₹7.5 crores ($15 million). The latter carried no interest, and repayments on the loan were not to begin until fifteen years had passed. The Corporation was thus expected to start operations with total resources of ₹17.5 crores. Largely at the World Bank's instance, and in consultation with Indian business interests, a steering committee with Sir Ramaswami Mudaliar as Chairman, and G.D. Birla, Biren Mookerjee, A.D. Shroff, and Kasturbhai Lalbhai as members was formed to help the project get off the ground and propose the initial composition of the Corporation's Board of Directors.

The institution which was christened the Industrial Credit and Investment Corporation of India Ltd, came into existence on January 5, 1955, barely sixteen months after the first proposals for the institution were put forward. Initially, the issued equity was ₹5 crores, of which 30 percent was subscribed by foreign investors in the UK (20 percent) and the US (10 percent). This became possible largely due to the efforts of the World Bank. Despite the initial hesitance, the CDFC of the UK was one of the largest initial shareholders. The balance 70 percent capital came from institutional and individual investors in India. This included banks, insurance companies, and corporate enterprises. Shares aggregating ₹1.5 crores were offered to the Indian public in February 1955. The issue was oversubscribed. The World Bank provided a line of credit of US $10 million at 4 5/8 percent and Mehta signed the guarantee agreement for the first line of credit of US $10 million from the World Bank on March 14, 1955.

The Government of India provided a long-term, 30 year interest free loan of ₹7.5 crores out of the US counterpart funds in India, with the consent of the US government. The long-term rupee loan was to rank lower in status (i.e. after its equity) to inspire confidence in the foreign and Indian investors in ICICI's equity capital. While IFCI and IDBI had a public sector character, ICICI was different insofar that it did not have any direct government equity participation. Though later a substantial part of its equity capital came to be held by public sector institutions like banks, the Life